

businessmen, particularly those run-of-the-mill variety. Nero is allergic to the vocabulary of business talk, not just on plain aesthetic grounds. Words like "game plan", "bottom line", "how to get there from here", "we provide our clients with solutions", "our mission" and other hackneyed expressions that dominate meetings lack both the precision and the coloration that he prefers to hear. Whether people populate silence with hollow sentences, or if such meetings present any true merit, he does not know; at any rate he did not want to be part of it. Indeed Nero's extensive social life includes almost no business people. But unlike me (I can be extremely humiliating when someone rubs me the wrong way with inelegant pompousness), Nero handles himself with gentle aloofness in these circumstances.

So, Nero switched career to what is called proprietary trading. Traders are set up as independent entities, internal funds with their own allocation of capital. They are left alone to do as they please, provided of course that their results satisfy the executives. The name proprietary comes from the fact that they trade the company's own money. At the end of the year they receive between 7% and 12% of the profits generated. The proprietary trader has all the benefits of self employment, and none of the burdens of running the mundane details of his own business. He can work any hours he likes, can travel at a whim and engage in all manner of personal pursuits. It is paradise for an intellectual like Nero who dislikes manual work and values unscheduled meditation. He has been doing that for the past ten years, in the employment of two different trading firms.

MODUS OPERANDI

A word on Nero's methods. He is as conservative a trader as one can be in such a business. In the past he has had good years and less than good years – but virtually no truly "bad" years. Over these years he has slowly built for himself a stable nest egg, thanks to an income ranging between \$300,000 and (at the peak) \$2,500,000. On average, he manages to accumulate \$500,000 a year in after-tax money (from an average income of about \$1,000,000); this goes straight into his savings account. In 1993, he had a flat year and was made to feel uncomfortable in his

company. Other traders made out much better, so the capital at his disposal was severely reduced, and he was made to feel undesirable at the institution. He then went to get an identical job, down to an identically designed workspace, but in a different firm that was friendlier. In the fall of 1994 the traders who had been competing for the great performance award blew up in unison during the worldwide bond market crash that resulted from the random tightening by the Federal Reserve Bank of the United States. They are all currently out of the market, performing a variety of tasks. This business has a high mortality rate.

Why doesn't Nero make more money? Because of his trading style – or perhaps his personality. His risk aversion is extreme. Nero's objective is not to maximize his profits, so much as it is to avoid having this entertaining money machine called trading taken away from him. Blowing up would mean returning to the tedium of the university or the non-trading life. Every time his risks increase, he conjures up the image of the quiet hallway at the university, the long mornings at his desk spent in revising a paper, kept awake by bad coffee. No, he does not want to have to face the solemn university library where he was bored to tears. "I am shooting for longevity", he is wont to say.

Nero has seen many traders *blow up*, and does not want to get into that situation. *Blow up* in the lingo has a precise meaning; it does not just mean to lose money; it means to lose more money than one ever expected, to the point of being thrown out of the business (the equivalent of a doctor losing his license to practice or a lawyer being disbarred). Nero rapidly exits trades after a predetermined loss. He never sells "naked options" (a strategy that would leave him exposed to large possible losses). He never puts himself in a situation where he can lose more than, say, \$1,000,000 – regardless of the probability of such an event. That amount has always been variable; it depends on his accumulated profits for the year. This risk aversion prevented him from making as much money as the other traders on Wall Street who are often called "Masters of the Universe". The firms he has worked for generally allocate more money to traders with a different style, like John whom we will encounter soon.

Nero's temperament is such that he does not mind losing small money. "I love taking small losses", he says. "I just need my winners to be large". In no circumstances does he want to be exposed to those rare